

## The Information Daily Briefing — July 21, 2026

*Source: The Information (theinformation.com), articles published in the last 24 hours (Jul 20, 2026, including the Jul 20 evening Briefing). Compiled from newsletters delivered to the subscriber inbox and read on the logged-in site. Links point to The Information; full articles are accessible to the logged-in subscriber.*

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### Top Stories — What / Why / When / Which / How

#### 1. Washington debates banning Chinese open-source AI — and business pushes back

- **What:** Chatter is building inside the Trump administration about restricting or banning Chinese open-source AI models, after The Information revealed the idea was discussed internally last year. Prominent investors and the former White House AI czar are publicly warning against it.
- **Why:** U.S. companies are increasingly leaning on cheap, capable Chinese open-source models to control spiraling AI spend. A ban would raise costs and, critics argue, hurt American competitiveness rather than protect it.
- **When:** Debate intensified over the weekend and into Monday, Jul 20, 2026, following the prior Saturday's report and last week's Kimi K3 release.
- **Which:** Moonshot AI (Kimi), OpenRouter, William Blair (research), plus commentators David Sacks, Chamath Palihapitiya and Bill Gurley; U.S. AI labs (OpenAI, Anthropic) sit on the other side of the pricing debate.
- **How:** Chinese models have accounted for ~30% of tokens used by U.S. firms since February, per a William Blair report citing OpenRouter data. Sacks argued U.S. model guardrails are "only making ourselves less competitive"; Palihapitiya warned forcing U.S. firms to spend "50–100X more than their competitors abroad" would leave them "financially impaired."
- **Source:** The Information — "The Debate About Chinese Open-Source AI; Ellison's Bad Day" (The Briefing) by Martin Peers, Jul 20, 2026. [Link](#)

#### 2. Moonshot's Kimi K3 reframes the U.S.–China AI race — with caveats

- **What:** Beijing-based Moonshot released Kimi K3, the world's largest open-source model at 2.8 trillion parameters. It topped Arena's coding leaderboard — ahead of OpenAI's GPT-5.6 and Anthropic's Claude Fable 5 — but independent testers flag real-world limits.
- **Why:** It challenges the assumption that Chinese labs merely "distill" U.S. models, and it feeds surging U.S. enterprise interest in cheaper open-source alternatives — which is drawing regulatory attention (see Story 1).
- **When:** Released Thursday, Jul 16; analysis and reactions through Jul 20, 2026. Moonshot paused new K3 subscriptions Sunday as GPU demand overwhelmed its servers.

- **Which:** Moonshot AI, Arena, Microsoft (adding K3 to Azure and testing it in Copilot), Alibaba (released test version of 2.4T-parameter Qwen3.8 on Sunday); benchmarks vs. OpenAI and Anthropic.
- **How:** Arena's CEO called it a break in the "distillation" narrative. But Redwood Research's Ryan Greenblatt estimates K3 is ~10 months behind Anthropic on pre-training and "a bit less useful in practice" than Claude Opus 4.8; it is costly to run (comparable to Claude Sonnet) and token-hungry (one tester's "pelican" prompt cost 25 cents).
- **Source:** The Information — "What the New Kimi K3 Model Really Means for the U.S.-China AI Race" (AI Agenda) by Alix Coutures, Rocket Drew and Aaron Holmes, Jul 20, 2026. [Link](#)

### 3. Exclusive: Google's "Frozen v2" chip aims for 6–10x more efficient AI serving

- **What:** Google is developing a new server chip, informally "Frozen v2," that etches part of its Gemini model directly into silicon to serve AI far more efficiently.
- **Why:** It targets Google's acute AI compute crunch — capacity so short it has forced Google Cloud to turn away customers and stoked internal tension — while deepening Google's in-house silicon push against Nvidia.
- **When:** Reported Jul 20, 2026; deployment targeted as soon as 2028.
- **Which:** Alphabet/Google (Gemini, TPUs, DeepMind's Jeff Dean); competitive read-through to Nvidia, plus inference-chip peers SambaNova, d-Matrix, Groq, Taalas, OpenAI and Microsoft.
- **How:** Engineers project 6–10x more tokens served per unit of power vs. Google's newest TPU by baking model decisions into the chip. It's a bet Gemini's architecture stays stable; Frozen v2 is a limited-run "trial" branch alongside (not replacing) TPUs. Alphabet stock jumped ~3% Monday on the report.
- **Source:** The Information — "Google Plans New 'Frozen' Chip to Run Its AI Models Much More Efficiently" (Exclusive) by Erin Woo and Qianer Liu, Jul 20, 2026. [Link](#)

### 4. Memory-chip selloff makes Samsung the value "underdog"

- **What:** A ~month-long selloff across the memory trio — Samsung, SK Hynix and Micron — has opened a re-entry point for investors, with Samsung screening as the cheapest of the three.
- **Why:** The selloff reflects fear the AI-driven memory super-cycle could roll over into the sector's classic boom-bust; the bull case is that pricing power holds for a few more years.
- **When:** Analysis published Jul 20, 2026; Samsung reports earnings Jul 30. SK Hynix listed on Nasdaq last Thursday in a \$26.5B IPO (largest-ever U.S. IPO by a foreign company) and has since fallen ~8%.
- **Which:** Samsung, SK Hynix, Micron; plus rising challengers China's CXMT and Japan's Nanya; Apple (facing higher hardware costs, testing CXMT chips).
- **How:** Samsung trades ~4x book (roughly half SK Hynix/Micron) and ~4.4x forward earnings. Its chip unit revenue rose 226% YoY and made up 94% of Q1 operating

profit; Morningstar's Jing Jie Yu sees DRAM +42% / NAND +93% pricing in Q2 and pricing power "through 2027 at the very least," with the "real test" in 2028.

- **Source:** The Information — "Samsung Is the New Memory Chip Underdog—for Now" (True Value) by Anita Ramaswamy, Jul 20, 2026. [Link](#)

#### 5. The Ellisons' bad day: Oracle sinks, Paramount–Warner Bros. deal blocked

- **What:** A double blow for Larry and David Ellison — Oracle shares fell 4% Monday to \$121.38 (lowest since April 2025) on AI data-center cost worries, and a judge blocked their Paramount Skydance's \$110B purchase of Warner Bros. Discovery for 14 days.
- **Why:** Oracle's expensive AI buildout is throwing off multibillion-dollar cost surprises; separately, a group of U.S. states won a temporary injunction against the WBD deal even after federal and international sign-offs, signaling real deal risk.
- **When:** Both Monday, Jul 20, 2026.
- **Which:** Oracle, Paramount Skydance, Warner Bros. Discovery, Netflix (which walked from its own WBD deal).
- **How:** Paramount fell 2% to \$8.57 — below the \$12–\$16.02 at which new equity is being injected. If the close slips past Sept. 30, Paramount owes \$650M per quarter of delay; if regulators kill the deal, a \$7B termination fee (on top of \$2.8B already paid to break the WBD–Netflix deal) — a potential ~\$10B downside.
- **Source:** The Information — "The Debate About Chinese Open-Source AI; Ellison's Bad Day" (The Briefing) by Martin Peers, Jul 20, 2026. [Link](#)

#### 6. China's Windrose put fake U.S. VINs on China-made trucks; NHTSA investigating

- **What:** Chinese long-haul EV-truck startup Windrose generated U.S. vehicle identification numbers labeling several China-made trucks as manufactured in Georgia, using a borrowed Savannah-area address, according to texts and former employees.
  - **Why:** Windrose couldn't quickly obtain Chinese VINs and couldn't legally sell without a VIN; the workaround now has the U.S. safety regulator asking questions — a governance red flag for a company courting Western buyers and politicians.
  - **When:** VIN decision made September last year; trucks stranded at Long Beach customs from December; NHTSA inquiry ongoing, reported Jul 20, 2026.
  - **Which:** Windrose Technology (founder/CEO Wen Han); incumbents Daimler Truck and Traton (VW); Tesla's Semi as the price target it aimed to undercut.
  - **How:** Windrose has sold just two trucks in the U.S. (plus two in Europe, ~33 in China). NHTSA can fine up to \$27,874 per VIN violation; the company says the inquiry is "routine" and blames an employee. It later re-shipped trucks with proper Chinese VINs.
  - **Source:** The Information — "China's Windrose Needed U.S. ID Numbers. So It Borrowed a Georgia Address" (The Electric) by Steve LeVine, Jul 20, 2026. [Link](#)
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## In Other News — Deals, Debuts & Moves (last 24 hours)

- **Databricks** is raising new funding led by Coatue at a **\$188B valuation** (+40% vs. December; above the \$175B it was reportedly weighing).
  - **TSMC** pledged an additional **\$100B** U.S. investment to expand advanced-chip manufacturing in Arizona.
  - **Apple** and the **U.S. DOJ** are in active talks to settle the 2024 antitrust suit; Apple has made multiple settlement offers, though no deal is guaranteed.
  - **ChangXin Memory (CXMT)** expects to raise **≥¥57.9B (\$8.6B)** in a Shanghai IPO — set to be China's biggest domestic tech listing.
  - **Moonshot AI** is seeking investor approval to prepare a **Hong Kong IPO**.
  - **Netflix** paid **\$587M** cash for InterPositive, Ben Affleck's AI-filmmaking-tools startup.
  - **SpaceX** is in talks to provide data-center capacity to the **U.S. Department of Defense**.
  - **Nvidia** is supplying ~27,500 Rubin GPUs to Japan's government-backed **Noetra** consortium (Sony, SoftBank, NEC, Honda).
  - **Microsoft** is preparing "Project Perception," an AI cybersecurity product using Anthropic, OpenAI and in-house models.
  - **Hyundai** is buying SoftBank's ~10% stake in **Boston Dynamics**, making it a wholly owned subsidiary.
  - **Meta** plans to hire AWS senior exec **Dave Brown** — the strongest sign yet it may rent out excess data-center capacity.
  - **Governance/policy**: Commerce's AI-standards center director Chris Fall is resigning after 3 months; advocacy group HumansFirst claims 142 anti-data-center protests across 42 states on Saturday; China's AI token consumption topped 140 trillion in March (up from 100T in December).
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## Overall Summary — Market Trend, Development & Sentiment

The 24-hour tape is dominated by a single tension: **AI demand is still white-hot, but the cost of feeding it is now the central battleground** — across chips, memory, power and geopolitics. Three threads tie the day together:

1. **Efficiency and cost control are the new alpha.** Google's "Frozen v2" (6–10x efficiency) and the enterprise rush toward cheap Chinese open-source models both point the same way: whoever serves tokens cheapest wins. Alphabet's ~3% pop on the chip news shows investors reward a credible path to lower inference cost.
2. **The U.S.–China AI contest is narrowing on capability but widening on policy.** Kimi K3 is genuinely impressive yet, on sober testing, still ~10 months behind Anthropic on pre-training. The more consequential development is political — a mooted U.S. ban on Chinese open source that business leaders across the aisle are loudly opposing.
3. **Cycle-top anxiety is creeping into the AI-adjacent trades.** The memory selloff and Oracle's slide to a 15-month low show the market starting to price the *downside* of the buildout — overcapacity risk in memory, cost overruns in data centers — even as headline demand metrics (140T tokens/month in China) keep climbing.

**Sentiment:** constructive on compute-efficiency and platform winners (Alphabet), more skeptical/two-sided on the capital-intensive edges (Oracle data centers, memory super-cycle, Paramount's leveraged M&A). Overall risk appetite remains high (record IPO backdrop, Databricks at \$188B, SK Hynix's record foreign IPO), but the market is increasingly discriminating between "AI demand" and "AI economics."

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### Important Questions & Risks Being Asked — and Addressed

- **Will the U.S. actually ban Chinese open-source AI?** *Addressed:* Growing pushback from Sacks, Palihapitiya and Gurley plus the 30%-of-tokens data argue against it economically — but the reporting cautions "never say never" given Trump's tariff instincts. **Risk:** a ban would raise U.S. AI costs and hurt competitiveness.
  - **Is China closing the AI gap?** *Addressed:* Kimi K3 tops a coding leaderboard but independent pre-training tests put it ~10 months behind Anthropic and "less useful in practice." **Risk:** benchmark hype outrunning real capability; but the trajectory is clearly tightening.
  - **Is the memory super-cycle about to bust?** *Addressed:* Morningstar sees pricing power holding "through 2027 at the very least," with 2028–2030 as the real test as capacity (SK Hynix Yongin, Micron's \$250B, CXMT, Nanya) comes online. **Risk:** overbuilding into slowing demand.
  - **Can Google's efficiency bet pay off?** *Addressed:* Frozen v2 is a limited "trial run" not slated until 2028 and locks in Gemini's architecture. **Risk:** architectural lock-in if Gemini's design shifts.
  - **How much downside in Paramount's WBD deal?** *Addressed:* A potential ~\$10B loss if the deal collapses (\$7B break fee + \$2.8B already spent + delay fees). **Risk:** state litigation now looks winnable.
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### Potential Investment Implications (companies directly mentioned)

*Not investment advice — for information only. These are read-throughs from the reporting, not recommendations.*

- **Alphabet / Google (GOOGL):** Most clearly positive. Frozen v2 signals a structural inference-cost advantage and reduced Nvidia dependence; the market already paid ~3%. Watch Q2 earnings (this week) and TPU external-sales momentum (Meta deal).
- **Nvidia (NVDA):** Mixed. Near-term demand insatiable (Japan Rubin deal, GPU shortages), but Google's Frozen v2 and the broader inference-chip wave (Groq, Taalas, SambaNova, d-Matrix, OpenAI, Microsoft) chip at the long-term moat in inference.
- **Samsung / SK Hynix / Micron:** The memory trade is now a valuation/timing call. Samsung screens cheapest (~4x book, ~4.4x fwd earnings) with a possible re-rating; SK Hynix and Micron richer after ~700% runs. Pricing power supportive to 2027; 2028+ overcapacity is the key risk. Samsung earnings Jul 30 is the next catalyst.
- **Oracle (ORCL):** Negative near-term. 15-month low on data-center cost overruns; the AI-infra "cost surprise" theme is a headwind for capital-heavy cloud builders.

- **Paramount Skydance (PARA) / Warner Bros. Discovery (WBD) / Netflix (NFLX):** Event-driven risk. Paramount carries asymmetric downside (~\$10B) if the deal breaks; WBD holders face renewed close uncertainty; Netflix looks vindicated for walking away.
- **Microsoft (MSFT):** Optionality. Adding Kimi K3 to Azure and testing it in Copilot could lower model costs; “Project Perception” opens an AI-security revenue line.
- **Apple (AAPL):** Two overhangs — memory-driven hardware cost inflation and an active (potentially settle-able) DOJ antitrust case; CXMT sourcing blocked on regulatory grounds.
- **TSMC (TSM):** Structural winner of the AI capex cycle; the extra \$100B U.S. commitment deepens its Arizona footprint amid record demand.
- **Private / pre-IPO to watch:** Databricks (\$188B), Moonshot (HK IPO prep), CXMT/ChangXin (\$8.6B Shanghai IPO), SpaceX (DoD data-center talks), Boston Dynamics (now Hyundai-owned) — all signposts of where capital is flowing.
- **Windrose:** Avoid/caution. Governance red flags (VIN mislabeling, unpaid staff, NHTSA inquiry) and negligible sales undercut the low-cost-EV-truck thesis; a data point on execution risk among Chinese EV-truck challengers to Daimler Truck and Traton.

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